

Kretz Lumber AI Leadership and Governance Training

Step-by-step facilitator and participant handout | 10:00 AM - 12:00 noon | W11143 County Rd G, Antigo, WI 54409

Purpose: help Kretz leaders understand current AI tools, real business impact, and the governance responsibilities required for responsible adoption.

Why this training exists

This session is built around the leadership need Troy identified after exposure to AI ethics: leaders need to understand AI before the organization decides how to govern, approve, and use it. The session follows the formal training outline already shared: tools, business impact, live demonstrations, opportunity/risk discussion, and responsible AI adoption.

The training also builds on the Kretz/NTC planning context: AI governance and policy, office staff marketing and outreach, land/sales/forestry workflow needs, manufacturing and grading technology review, and AI Essentials training across departments.

Two-hour training flow

Segment	Time	Outcome
Welcome and framing	5 min	Why AI matters now and why leadership owns the guardrails.
What AI is and is not	10 min	Practical understanding of AI strengths, limits, and hallucinations.
Real-world AI impacts	20 min	Success and cautionary examples that make risk real.
Current platforms and uses	15 min	Understand tool categories and where they fit.
AI-created work products	15 min	See practical outputs AI can help create.
Live demonstration	20 min	Show rough notes becoming usable business outputs.
Prompt vs. process	15 min	Practice better instructions, context, and review.
Kretz opportunity and risk	20 min	Identify useful Kretz use cases and risks.
Governance and adoption	15 min	Approved tools, data protection, human review, accountability.
Closing and next steps	10 min	Commit to a practical next action.

Practice activity 1: Prompt vs. process

Weak prompt: Write an email about forest management.

Better prompt: You are helping a professional forester draft a follow-up email to a private landowner. Use only the notes below. Do not invent facts. Separate confirmed information from items requiring follow-up. Use a professional, practical, respectful tone. Include a thank-you opening, summary of goals, possible next steps, questions still needing review, and a clear closing.

Discussion

- What context improved the output?
- What did the prompt prevent AI from inventing?
- What still requires expert review?
- How could this structure support sales, safety, or operations?

Practice activity 2: Kretz opportunity and risk map

Ask participants to identify possible AI use cases in four categories: save time, improve communication, support training, and reduce errors or rework.

Use case	Value	Risk	Human owner?
Landowner follow-up drafts			
Meeting summaries/action items			
Safety toolbox talks			
Maintenance log summaries			
Sales/customer response drafts			
Fleet routing support			
Landowner prospecting			

Prototype walkthroughs

Kretz Haul Planner

Use this prototype to discuss how AI-supported planning could help organize pickups, drop-offs, routes, and logistics decisions. The point is not to treat the prototype as a finished dispatch system. The point is to ask what data, ownership, verification, and integration would be required before something like this could become operational.

Landowner Prospecting Tool

Use this prototype to show how AI can support research, opportunity identification, and draft outreach. The governance discussion should focus on source accuracy, privacy, tone, human review, and what should never be promised without expert verification.

Debrief questions

- What problem does the tool solve?
- What data does it depend on?
- Where could it be wrong?
- Who reviews output before action?
- What policy or procedure would make it safe?
- Who would maintain it over time?

AI News Break examples

Case	What happened	Leadership lesson
Air Canada chatbot	Incorrect bereavement fare guidance led to liability.	Customer-facing AI is company-facing communication.
Mata v. Avianca	Fake AI-generated legal citations were submitted to court.	Confident output still needs verification.
Samsung	Sensitive internal information reportedly entered public AI tools.	Employees need clear data rules and approved tools.
DPD chatbot	A chatbot swore and criticized the company.	Poorly controlled AI can become brand risk.
iTutorGroup	Automated hiring screen allegedly rejected older applicants.	AI in people decisions needs extra governance.

Kretz governance starter model

1. Sign-Off Rule

No AI-assisted content should be pushed to clients, customers, landowners, external stakeholders, or high-risk internal decisions without final human review. This is especially important for pricing, timber valuation, safety, legal, financial, HR, and customer-facing communication.

2. No-Fault Reporting

Employees should have a simple way to report hallucinations, errors, outdated outputs, or inappropriate AI responses without fear of blame. The point is to improve tools and procedures before errors become customer or business problems.

3. Kretz DNA

Kretz should define the voice, tone, values, and industry-specific vocabulary that AI tools should follow. This helps AI-assisted content represent Kretz consistently as an employee-owned, owner-thinking organization.

4. Approved tools and data rules

Leaders should define which tools are approved, what data can be used, what data is restricted, and which workflows require review before output is used.

Platform and tool strategy

The platform decision is part of governance. Kretz needs a secure environment for high-value work, especially if employees may use AI with proprietary business context. ChatGPT Team/Business can be a practical starting point for secure AI use and internal tool prototyping, while Copilot may be useful but more complex for early broad adoption. The final decision should weigh security, ease of use, workflow fit, cost, support, and adaptability.

Leadership questions

- What tools are approved for different types of work?
- What data is never allowed in public AI tools?
- What training is required before staff use AI?
- Who owns tool administration and access?
- How often will approved tools be reviewed?

Next steps after the session

- Review and refine the AI governance and policy document.
- Select approved AI tools and define acceptable use categories.
- Create the Sign-Off Rule and No-Fault Reporting process.
- Define Kretz DNA: values, tone, vocabulary, and communication standards.
- Identify an internal AI champion or Tool Builder role.
- Choose 2-3 small pilot projects with clear owners and review rules.
- Build a recurring review process because the AI landscape changes quickly.

Reference links

Air Canada chatbot liability: American Bar Association / BC Civil Resolution Tribunal summary

https://www.americanbar.org/groups/business_law/resources/business-law-today/2024-february/bc-tribunal-confirms-companies-remain-liable-information-provided-ai-chatbot/

Mata v. Avianca fake legal cases: U.S. District Court sanctions order via Justia

<https://law.justia.com/cases/federal/district-courts/new-york/nysdce/1:2022cv01461/575368/54/>

Samsung sensitive data incident: Public reporting on employee use of ChatGPT and data leakage

<https://www.forbes.com/sites/siladityaray/2023/05/02/samsung-bans-chatgpt-and-other-chatbots-for-employees-after-sensitive-code-leak/>

DPD chatbot incident: The Guardian report on DPD disabling AI chatbot component

<https://www.theguardian.com/technology/2024/jan/20/dpd-ai-chatbot-swears-calls-itself-useless-and-criticises-firm>

CNET AI corrections: WIRED report on AI-generated articles and corrections

<https://www.wired.com/story/cnet-published-ai-generated-stories-then-its-staff-pushed-back/>

iTutorGroup hiring discrimination: EEOC settlement announcement

<https://www.eeoc.gov/newsroom/itutorgroup-pay-365000-settle-eeoc-discriminatory-hiring-suit>

Business data privacy: OpenAI business data privacy commitments

<https://openai.com/business-data/>

AI risk framework: NIST AI Risk Management Framework

<https://www.nist.gov/itl/ai-risk-management-framework>

Cybersecurity guidance: CISA Artificial Intelligence guidance

<https://www.cisa.gov/topics/artificial-intelligence>